

Talwar was Chairman for seven years and in that time left his impress on every area of the bank's working. While it will be impossible to describe all his contributions in detail within the compass of a few pages, the following pages provide the flavour.

REORGANIZATION OF THE SBI

One of Talwar's most important contributions was the initiation in 1971 (and subsequent implementation), of the first ever organizational restructuring exercise of the bank, a reorganization which served the bank well for more than two decades. Talwar had expressed the view (in a conference of senior managers) that his Branch Managers were lost. In January 1970, he set about finding them. The reorganization process started with Talwar asking N. Vaghul who was then his private secretary to prepare a report on restructuring the SBI. Vaghul drafted a ten-page report based on devolution of power which he admits was a highly 'amateurish attempt' When this report was discussed at a meeting of the Central Board, the members of the Board which included B.D. Garware, felt that the subject should be handled more professionally with the assistance of external consultants. Talwar then told Vaghul to contact McKinsey & Company who had done similar work for the Bank of England and other banks abroad. Vaghul contacted McKinsey in New York (they had no office in India then) and told them about what SBI was planning. McKinsey told Vaghul after a month that they would charge $1 million just to conduct a feasibility study to see if they would take up the mandate. Talwar then gave up on the McKinsey idea and started thinking of the Indian Institute of Management, Ahmedabad (IIMA) as an alternative. He sent Vaghul to meet Ravi Matthai[4], Director of IIMA who put Vaghul in touch with Prof. Ishwar Dayal and his team which included Prof. S.K. Bhattacharya.[5]

In May 1970, it was decided to entrust the study to Prof. Ishwar Dayal and his team from IIMA. The team from IIMA and two officers from the SBI visited several branches, LHOs, and regional offices and held discussions with the officials. They presented their findings through